BENCHMARK® INTERNATIONAL

MIDDLE MARKET



M&A SECTOR REPORT | OCTOBER 2026

Industrial

Q4 2026

Manufacturing & Industrial Technology · Industrial Distribution & Services · Building Products & Construction Services · Energy, Power & Environmental Services · Transportation & Logistics

JARED HARDIN, MANAGING DIRECTOR, BENCHMARK INTERNATIONAL

54.5

ISM Manufacturing PMI in September, the ninth consecutive month of expansion

$993B

Global M&A value in the third quarter, 41% below the second quarter

7.0x

Average middle-market purchase multiple in the second quarter, on trailing adjusted EBITDA

85

Transactions Benchmark International closed for industrial-sector companies in the 24 months to September 30, 2026

Information as of October 6, 2026. Multiples from public companies and larger transactions are reference points, and a private company's price depends on the business itself.

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01 The Quarter in Brief

Middle-market industrial companies enter the fourth quarter with full order books and a deal market that has become more selective about what it pays for. American manufacturing has expanded for nine consecutive months, with the ISM Manufacturing PMI at 54.5 in September and its order backlog index up 4.6 points to 56.4 (ISM). Global deal value for the first nine months of the year reached $3.9 trillion, the highest for the period since 2001, and third-quarter value then fell 41% from the second quarter to $993 billion as long-term borrowing costs rose (LSEG data reported by Reuters; BOL News). Strategic acquirers and private equity platforms are still buying machining, distribution, contracting, environmental and logistics capacity that already exists, because skilled labor is scarce and new equipment takes a long time to arrive. They are paying the most for companies tied to power, data centers, aerospace and service work that codes and regulations require.

> *"In 2026 and beyond, the industrials space is expected to see strong investor interest fueled by many long-term themes, including onshoring and nearshoring, electrification, infrastructure investment, digital transformation and technology adoption, sustainability, and others."*
>
> Harris Williams, Outlook 2026: Industrials

- **Manufacturing & Industrial Technology.** Orders for manufacturing technology reached $4.03 billion in the first seven months of 2026, 37.1% ahead of the same period of 2025 (AMT data reported by MDM), and North American electronics manufacturing services bookings in August were 53.5% above a year earlier (Global Electronics Association).
- **Industrial Distribution & Services.** Sales by wholesalers of machinery, equipment and supplies were 12.1% higher in July than a year earlier (Census Bureau). Refinery turnaround work is the soft spot, with Team, Inc. reporting turnaround activity down 51% in the first half (Team, Inc.).
- **Building Products & Construction Services.** Total construction spending in August was 1.7% below a year earlier (Census Bureau), while contractors doing data center work reported 9.9 months of backlog against 8.3 months for those that are not (ABC).
- **Energy, Power & Environmental Services.** The Energy Information Administration expects US electricity sales to grow about 2% in 2026 and again in 2027 (EIA), and Clean Harbors agreed to two emergency response and field service acquisitions worth a combined $775 million within three weeks of each other (Clean Harbors; Waste Advantage).
- **Transportation & Logistics.** The Cass Freight Index for shipments rose 2.1% from a year earlier in August, its first annual increase since January 2023, and the truckload linehaul index was up 11.3% (Cass Information Systems).
- **Pricing and financing.** The average multiple in GF Data's sponsor-reported sample was 7.0 times trailing adjusted EBITDA in the second quarter against 7.3 times in the first, and average total debt on platform acquisitions fell to

2.9 times EBITDA from 3.4 times (GF Data via ACG). The Federal Reserve then raised its target range to 3.75% to 4.00% on September 16 (Federal Reserve).

- **Benchmark International.** In the 24 months to September 30, 2026, Benchmark International closed 85 transactions for companies in the five industrial segments covered in this report, and it has 212 industrial engagements in progress.

AT A GLANCE

Benchmark International's industrial activity is counted for the 24 months to September 30, 2026, and engagements in progress are counted as of October 1, 2026.

SEGMENT	WHAT THE MARKET IS SHOWING	BENCHMARK TRANSACTIONS CLOSED IN THE PAST 24 MONTHS	BENCHMARK ENGAGEMENTS IN PROGRESS
Manufacturing & Industrial Technology	Nine consecutive months of manufacturing expansion and machine tool orders up 37.1% for the year to July	22	28
Industrial Distribution & Services	Machinery and supplies wholesale sales up 12.1% in July, with fire and life safety services and gas distribution consolidating quickly	8	24
Building Products & Construction Services	Record backlogs for mechanical and electrical contractors on data center work, and weak demand wherever revenue follows new housing	45	118
Energy, Power & Environmental Services	Electricity demand growing about 2% a year, generator and switchgear capacity sold out years ahead, and steady tuck-in buying in waste and environmental services	7	28
Transportation & Logistics	Freight volumes rising for the first time since early 2023 and truckload rates up more than 11% on reduced capacity	3	14
All five segments		**85**	**212**

INDICATOR	LATEST READING	WHAT IT MEANS FOR AN OWNER
ISM Manufacturing PMI	54.5 in September, with new orders at 55.3 and the prices index at 77.9 (ISM)	Demand is broad, and buyers will ask how quickly cost increases were passed through to customers
Global M&A value	$993 billion in the third quarter, 41% below the second quarter, after a record first half (LSEG data reported by Reuters)	The very large transactions that set records earlier in the year have slowed, and buyers are taking more time
Middle-market purchase multiples	7.0 times trailing adjusted EBITDA in the second quarter against 7.3 times in the first (GF Data via ACG)	Pricing has eased modestly and the premium for quality and size has widened

INDICATOR	LATEST READING	WHAT IT MEANS FOR AN OWNER
Federal funds target range	3.75% to 4.00% after a quarter-point increase on September 16 (Federal Reserve)	Borrowed money costs more, which favors acquirers with cash, public equity or an existing platform
Private equity portfolio	13,509 US companies held, with add-on acquisitions making up about three-quarters of buyouts in the second quarter (PitchBook)	Most private equity interest in a founder-owned industrial company now comes through a platform the sponsor already owns
Steel and aluminum prices	Steel mill products up 23.4% and aluminum mill shapes up 27.3% in the year to August (BLS data via FRED; aluminum)	Monthly gross margin through each cost change has become a standard diligence request
Diesel	$6.38 a gallon in the week of September 28 (EIA)	Fuel recovery terms in customer contracts matter for carriers, contractors and field service fleets

02 Manufacturing & Industrial Technology

$606M	1.39	30,400
US manufacturing technology orders in July, 55.2% above a year earlier	Book-to-bill ratio for North American electronics manufacturing services in August	Openings a year for machinists and tool and die makers, all to replace workers who leave

Engineered products and precision manufacturing where proprietary processes, certifications and approved-vendor status create durable advantages.

Certified machine shops, electronics assemblers and flow control manufacturers are being assembled into platforms that serve aerospace, defense, medical, power and data center customers, and the order data explain why acquirers are in a hurry to add capacity.

PRECISION MACHINING AND FABRICATION

US orders for manufacturing technology were $606 million in July, 55.2% above July 2025, and July was the fifth consecutive month above $500 million, which has happened only once before since the series began in 1998. Contract machine shops are increasing their investment faster than the market as a whole (AMT data reported by MDM). The Gardner Business Index for metalworking was 54.8 in August, its eighth consecutive month of expansion (Modern Machine Shop). Sentiment among metalformers cooled in September, when 29% expected incoming orders to rise over the following three months, down from 49% in August, while daily shipping levels held steady (PMA).

AEROSPACE AND DEFENSE COMPONENTS

Boeing delivered 171 commercial airplanes in the second quarter, 14% more than a year earlier, and reported a commercial backlog of more than 6,200 airplanes (Boeing). Airbus delivered 475 aircraft in the first eight months of the year (Airbus). Nearly every 2026 machining announcement leads with the seller's AS9100, Nadcap or ITAR registrations.

ELECTRONICS AND MICROELECTRONICS

North American electronics manufacturing services bookings in August were 53.5% above a year earlier and the three-month book-to-bill ratio was 1.39 (Global Electronics Association). The printed circuit board book-to-bill was 1.46 in July (Global Electronics Association). Global semiconductor sales passed $1 trillion for the year through August (SIA), and semiconductor equipment billings set a second consecutive quarterly record at $40.53 billion (SEMI). Sanmina told investors it sees "strong demand for fiscal 2027, with growth ramping throughout the year and into fiscal 2028" (Sanmina).

PLASTICS AND MOLDING

The US plastics industry shipped $533.6 billion of product in 2025 and employed 1,049,200 people directly (Plastics Industry Association). Prices for nearly all commodity resins were flat to lower heading into October (Plastics Technology). Medical molding is where buyers are most active, with Command Medical Products and Banner Capital both announcing acquisitions in September and October.

COATINGS AND METAL FINISHING

Finishing shops with aerospace approvals are being combined into multi-site platforms. Talica, backed by JLL Partners, acquired Hard Anodize, a Nadcap and AS9100 anodizing shop, in August (PCI Magazine), and Madison Lake Capital combined finishing operations in Wisconsin and Arizona under the UltiCoat name in September (Products Finishing).

PUMPS, VACUUM AND FLOW CONTROL

Strategic buyers paid full prices for pump and actuator manufacturers in the third quarter. Franklin Electric bought Cat Pumps, Crane agreed to buy Trillium's US water pump business, and ABB offered about $5.5 billion for Rotork.

AUTOMATION AND CONTROLS

North American companies ordered 8,940 robots worth $622 million in the second quarter, 21.3% more by value than a year earlier, and customers outside the automotive industry placed 56% of the orders (A3 data reported by The Robot Report). Rockwell Automation's sales rose 8% to $2.31 billion in its June quarter, and it named semiconductor, data center and warehouse automation as its strongest markets (Rockwell Automation).

Skilled labor limits how quickly a shop can respond to this demand. The Bureau of Labor Statistics projects about 30,400 openings a year for machinists and tool and die makers, all of them to replace workers who retire or move on (BLS). An acquirer buying a staffed, certified shop is buying a workforce that cannot be hired in the open market at any reasonable speed.

> *"Subsectors including semiconductors, power and cooling infrastructure, as well as industrial companies tied to data center investments, benefited either directly or indirectly from AI infrastructure spending as the surging power requirements triggered major infrastructure investment needs and utility-scale power agreements."*
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> Lincoln International, Q2 2026 Lincoln Private Market Index

TRANSACTIONS ANNOUNCED IN 2026

ANNOUNCED	SELLER	BUYER	BUSINESS
January	**Kremin Inc., Frankenmuth, Michigan (owner-operated)**	Threadlock Precision (D. E. Shaw group)	AS9100D Swiss machining and milling for aerospace, defense and medical
January	**PREMIERflow and Mid Atlantic Storage Systems, the latter based in Washington Court House, Ohio**	DXP Enterprises	Integrated pump systems and liquid storage tanks; combined sales of $93.7 million and adjusted EBITDA of $20.9 million over 11 months
February	**Kettmann Machining, San Jose, California (founder-owned since 1983)**	GCM (Avista Healthcare Partners)	Precision-machined plastic and metal parts for medical technology
February	**Trillium Flow Technologies' valves division (First Reserve)**	Flowserve (completed in June)	Valves for nuclear and conventional power plants with about $200 million of revenue; $490 million in cash
April	**Precision Aerospace Holdings, Dallas, Texas**	Precinmac (Centerbridge Partners)	Machined and EDM components for aerospace, defense and space
May	**Tool Technology Corp.**	Delta Mold	Injection molding

ANNOUNCED	SELLER	BUYER	BUSINESS
May	Automation Werx, Idaho Falls, Idaho	Relevant Solutions (Fusion Capital Partners)	PLC, HMI and SCADA integration
May	Robotech Automation, Quebec (founder-owned)	GE Vernova	Robotics systems integration; about 35 employees
June	New Frontier Technologies, Kansas City, Missouri	GrayMatter (Tailwind Capital)	Industrial automation for oil and gas, process and data center customers
June	LCS Controls, Rochester, Vermont (founded 1980)	General Control Systems	Automation and SCADA for water and wastewater plants
July	Advance Mfg. Co., Westfield, Massachusetts (family-owned since 1961)	Precinmac (Centerbridge Partners)	Machined components, fabrications and Nadcap coating for defense and aerospace
July	Rotork plc	ABB (offer)	Electric actuators and flow control; about $5.5 billion
July	Prince & Izant, Cleveland, Ohio (Industrial Growth Partners)	TransDigm Group (completed in September)	Brazing alloys and specialty metal components; about $1.07 billion
August	Machine Tool Engineering, Iowa	Windings, Inc. (employee-owned)	AS9100 turning, milling, grinding and Swiss machining
August	Hard Anodize, Minneapolis area	Talica (JLL Partners)	Anodizing and chromate conversion; AS9100 and Nadcap
August	CM Controls, Benicia, California (founded 2004)	Vessco Water (Gryphon Investors)	Motor and pump controls, PLC programming and SCADA integration
August	Maverick Power, McKinney, Texas	nVent Electric (agreement)	Switchgear and modular power for data centers; $1.75 billion plus up to $550 million
September	Cat Pumps, Minneapolis	Franklin Electric	High-pressure pumps; $350 million in cash plus up to $50 million in stock
September	Trillium Flow Technologies' US water pump business (First Reserve)	Crane Company (agreement)	Water and wastewater pumps; about $240 million
September	IMATS, Costa Rica (founder-owned)	Command Medical Products (Argosy Healthcare Partners)	Injection molding and mold tooling for medical devices
October	Seaway Plastics, MME Group and Wright Engineered Plastics	Banner Capital (agreement)	Injection molding and assembly for medical device manufacturers
October	Cametoid Technologies, South Windsor, Connecticut (owner-operated since 2010)	Valence Surface Technologies (ATL Partners and BCI)	Ion vapor deposition coatings for aerospace and defense; the buyer's thirteenth acquisition
October	PTC Inc.	Schneider Electric (agreement)	Industrial design and product lifecycle software; $205 a share in cash, about $22.6 billion

Price was disclosed only in the larger transactions, and those disclosures show how much strategic buyers will pay for engineered products with high margins. Franklin Electric's upfront payment for Cat Pumps equals about 7.8 times the $45 million of adjusted EBITDA Cat Pumps earned in 2025 on roughly $115 million of revenue. Crane described its price

for the Trillium pump business as about 14.6 times estimated 2026 adjusted EBITDA, ABB's offer values Rotork at 19.5 times EBITDA, and nVent put its upfront payment for Maverick Power at 11.5 times anticipated 2026 adjusted EBITDA. Howmet Aerospace, which agreed in December 2025 to buy Consolidated Aerospace Manufacturing from Stanley Black & Decker for about $1.8 billion, stated its price as about 13 times expected 2026 adjusted EBITDA after synergies and tax benefits (Howmet Aerospace). None of the founder-owned or family-owned sellers in the table disclosed terms, which is typical at that size.

The most instructive transaction for an owner of an integration or engineering firm is GE Vernova's purchase of Robotech. Robotech was already working inside GE Vernova's plants, and GE Vernova bought the firm to secure engineering capacity for its own factory expansion. Engineering talent is the scarce asset in this segment, and a company's value rests on how much of that talent stays after the founder sells.

BENCHMARK INTERNATIONAL IN THIS SEGMENT

Benchmark closed 22 transactions for manufacturers and industrial technology companies in the 24 months to September 30, 2026, and has 28 engagements in progress. The closed transactions span contract machining and fabrication, mold making, wire harness and optical component manufacturing, test equipment, powder coating, vacuum pumps and water controls, and the announced ones are listed under Recent Industrial Engagements. The engagements in progress include contract machining and sheet metal fabrication, laser and electron beam welding, injection molding, plating, electronics, custom vehicle bodies, control panel and SCADA integration, robotic systems integration and custom automation equipment.

03 Industrial Distribution & Services

12.1%	22	10x
Growth in machinery, equipment and supplies wholesale sales in July	Acquisitions Pye-Barker Fire & Safety completed in the first half of 2026	Trailing adjusted EBITDA, including synergies, that Ferguson paid for FloWorks

Value-added distributors and field-service providers with recurring maintenance revenue and dense local relationships.

Distributors are reporting their strongest sales growth in several years, and nearly every product line now has a specialist acquirer that is buying founder-led and second-generation companies several times a year. On the service side, work that codes require or that power and data center customers are funding is growing, while refinery turnaround work has been pushed into 2027.

MRO AND PARTS DISTRIBUTION

Fastenal's daily sales rose 14.7% in the second quarter and 16.6% in August, with sales to heavy manufacturing customers up 21.8% (Fastenal; August sales reported by MDM). Grainger's second-quarter sales were $5.02 billion, up 10.3% (MDM), Applied Industrial Technologies grew 10.4% in its June quarter and DXP Enterprises grew 15.6% (Applied; DXP). Across the wider channel, sales by wholesalers of machinery, equipment and supplies were $59.9 billion in July, 12.1% above a year earlier, and their inventories-to-sales ratio fell to 2.66 from 2.91 (Census Bureau). Price accounts for much of the growth at some distributors: MSC Industrial's average daily sales rose 7.8% in its March to May quarter, of which 7.2 points came from price (MDM).

GASES AND SPECIALTY SUPPLIES

The industrial gas producers reported mid-single-digit growth in the Americas, with Linde's regional sales up 7% and Air Products' up 5% (Linde; Air Products), and Air Liquide reported a 6.7% price effect in its Americas merchant business in the second quarter (Air Liquide). Independent gas and welding supply distributors are being bought by sponsor-backed consolidators. Meritus Gas Partners announced at least five acquisitions in 2026, four of them since July, and Falcon Gases, a new platform backed by Odyssey Investment Partners, was formed around Encore Gas & Supply in September.

HYDRAULICS AND FLUID POWER

US fluid power shipments were 4.7% higher in June than a year earlier, with pneumatic shipments up 12.8% (NFPA data reported by Power & Motion). Parker Hannifin reported organic growth of 4.9% and a 16% increase in orders in its North American industrial businesses for the June quarter, with a record backlog of $12.8 billion (Parker Hannifin).

FIRE AND LIFE SAFETY

APi Group reported "solid growth in inspection, service, and monitoring revenues" and raised its full-year outlook (APi Group). Pye-Barker Fire & Safety completed 22 acquisitions in the first half of 2026 alone (Pye-Barker), and Sciens Building Solutions, backed by Carlyle, bought its ninth Florida company in March (Sciens). Inspection and testing work that fire codes require gives these businesses recurring revenue, and that is what the consolidators are paying for.

INDUSTRIAL MAINTENANCE AND TURNAROUNDS

Team, Inc., which depends on refinery and petrochemical turnarounds, reported second-quarter revenue down 7.8% and turnaround activity down 51% for the first half (Team, Inc.). Industrial Info Resources reported in September that refiners had moved maintenance on ten crude units at seven refineries from the fall of 2026 to the fall of 2027 while margins are high (IIR Energy). Contractors with power, utility and data center customers are in a different position. EMCOR's US Industrial Services segment grew 25.9% in the second quarter (EMCOR), and Matrix Service ended its fiscal year with a backlog of $953.2 million (Matrix Service). Deferred turnaround work is eventually performed, so a buyer of a turnaround contractor will want to see the customer schedules that support the delayed backlog.

MATERIAL HANDLING

Lift truck demand is recovering from a weak 2025. Hyster-Yale's second-quarter revenue was 15% lower than a year earlier, but its bookings of $680 million were twice the level of the second quarter of 2025, the fourth consecutive quarter of growth (Hyster-Yale). Columbus McKinnon cited "robust U.S. short-cycle demand" for hoists and lifting equipment (Columbus McKinnon). Among dealers, Wolter bought two material handling businesses in the Midwest and Mid-South this year, one of which had been owned by the same family since 1970.

TRANSACTIONS ANNOUNCED IN 2026

ANNOUNCED	SELLER	BUYER	BUSINESS
March	**Fire Safety, Inc., Clearwater, Florida (founder-owned)**	Sciens Building Solutions (Carlyle)	Fire sprinkler and fire pump installation and service
April	**Onyx-Fire Protection Services, Ontario**	APi Group	Fire and life safety services; about $190 million of revenue
April	**Tool-Krib Supply, New Jersey (founded 1938)**	A&M Industrial	Cutting tools and MRO supply
April	**CSI Materials Handling, Downers Grove, Illinois (founded 1969)**	Wolter	Racking, storage and mezzanine systems
June	**Industrial Automation Supply, Portland, Maine (founder-owned since 1993; founder retiring)**	Airline Hydraulics (employee-owned)	Electrical controls and automation components with a UL 508 panel shop; about 30 employees
July	**HICO Distributing, Englewood, Colorado**	Meritus Gas Partners (AEA Investors)	Helium and balloon supplies distribution
July	**Delta Materials Handling, Memphis, Tennessee (family-owned since 1970)**	Wolter	Lift truck dealer with four locations
July	**Fluidraulics, Pittsburgh and Cleveland (founded 1967)**	Tavoron (Fusion Capital Partners)	Fluid power distribution
July	**Exotic Automation & Supply, New Hudson, Michigan (founded 1963)**	Value Added Distributors (Rotunda Capital), by merger	Fluid power and automation distribution; the combined company has 38 locations and Exotic's chief executive remains a significant shareholder
July	**Southland Fire & Safety Equipment, Gonzales, Louisiana (family-owned, founded 1972)**	Pye-Barker Fire & Safety	Fire suppression, extinguisher inspection and fire truck repair
July	**Metroplex Welding Supply, Dallas, Texas (family-owned, founded 1975)**	Meritus Gas Partners (AEA Investors)	Industrial gases and welding supplies from five locations

ANNOUNCED	SELLER	BUYER	BUSINESS
July	FloWorks (Wynnchurch Capital)	Ferguson (completed in August)	Flow control distribution; $1.6 billion
August	MJ Systems, La Porte, Texas (founder-led)	Motion & Control Enterprises (Frontenac)	Chemical injection pump systems and aftermarket parts; the buyer's fourth acquisition of 2026
August	Fastening Products of Lancaster, Pennsylvania (family-owned since 1971)	Lubker Distribution	Fastener distribution; owner retiring
August	Suppression Systems Inc., Tacoma, Washington (founded 1976)	Pye-Barker Fire & Safety	Fire suppression systems and service
September	American Fasteners Corp., South Florida	Distribution Solutions Group	Fasteners, tools and industrial supplies; about $39 million of revenue
September	Pegasus Supply Group, Noblesville, Indiana	Midland Industries (Gemspring Capital)	Industrial supplies; the buyer's third acquisition of 2026
September	Global Energy Solutions, Oklahoma and Arkansas (founded 2010)	OTC Industrial Technologies	Motor, drive and pump sales and repair
September	Wagner Welding Supply, Longmont, Colorado, and Allied Gases & Welding Supplies, Arizona	Meritus Gas Partners	Industrial gas and welding supply
September	Encore Gas & Supply, Long Beach, California	Falcon Gases (Odyssey Investment Partners)	Industrial and specialty gases
September	Stellar Industrial Supply	SNH Capital Partners (stake)	Industrial MRO supply
September	The Conrad Company, York, Pennsylvania	Incline Equity Partners	Fluid power, motion control and automation distribution; five locations
October	Filtration Corporation of America, Glen Ellyn, Illinois (family-owned, founded 1976)	Triad Technologies (Shorehill Capital)	Aviation fuel filtration, fuel testing and petroleum handling equipment
October	Pro-Co, Winter Springs, Florida (founded 1989)	MES Life Safety	Industrial safety, instrumentation and process-control products and service

The buyers in this list are specialists that acquire within a product line or a trade, and several completed three or four acquisitions in the first nine months of the year. Sellers are frequently second-generation or founder-led companies whose owners are retiring. TIPCO Technologies, which acquired Benchmark International's client DW Industries, also bought MTS Threaded Products in South Texas in September (MDM).

The one disclosed multiple came from the largest transaction. Ferguson paid $1.6 billion for FloWorks, which it described as about 10 times trailing adjusted EBITDA after including roughly $45 million of expected synergies, on about $1 billion of revenue (MDM). For smaller companies, Pepperdine's 2026 survey medians for wholesale businesses run from 5.5 times EBITDA for companies with $1 million to $5 million of EBITDA to 8.0 times for those with $10 million to $25 million, a size premium second only to construction's among the industry groups shown later in this report.

BENCHMARK INTERNATIONAL IN THIS SEGMENT

Benchmark closed eight transactions for industrial distributors and service companies in the 24 months to September 30, 2026, and has 24 engagements in progress. The closed transactions include hose and fluid power products, ground-engaging tools and wear parts, non-destructive testing supplies, industrial maintenance and turnaround services, and four fire protection businesses. The engagements in progress include industrial supply, specialty metals, safety equipment and packaging distributors, hydraulic repair, material handling equipment, process piping and machinery installation, and four fire and life safety contractors.

04 Building Products & Construction Services

$2.20T	8.5 months	3.1%
Annual rate of construction spending in August, 1.7% below a year earlier	Contractor backlog in August, with one in six contractors doing data center work	Construction unemployment in August, the lowest on record

Specialty trades, infrastructure contractors and building-products businesses benefiting from infrastructure spending and non-residential construction.

Buyers are concentrating on contractors and suppliers whose backlog is tied to data centers, power and public works, and on businesses with recurring service revenue. Companies that depend on new housing are selling into a market where the 30-year mortgage rate was 7.28% on October 1 (Freddie Mac) and builder sentiment is at a one-year low (NAHB).

Total construction spending ran at an annual rate of $2.20 trillion in August, 1.7% below August 2025 (Census Bureau). The Associated General Contractors of America calculates that the growth in the office category is due entirely to data centers (AGC). Contractor backlog stood at 8.5 months in August, and one in six ABC member contractors now performs data center work (ABC). Construction unemployment was 3.1% in August, the lowest on record, and construction input prices were 8.9% higher than a year earlier (AGC on employment; AGC on input costs).

MECHANICAL, ELECTRICAL AND PLUMBING

The public mechanical and electrical contractors are reporting the largest backlogs in their history. Comfort Systems USA ended June with a backlog of $14.06 billion against $8.12 billion a year earlier (Comfort Systems USA), EMCOR's remaining performance obligations rose 43.9% to $17.14 billion (EMCOR), and IES Holdings' backlog reached $4.5 billion (IES). The same demand is producing strain, and Limbach lowered its earnings guidance after its gross margin fell to 21.5% from 28.0%, citing competition for skilled labor and materials in data center markets (Limbach).

ROOFING AND EXTERIORS

Sponsor-backed platforms continue to add local roofing companies. Tecta America bought Roofing Standards in California in March (Roofing Contractor), and Ridgeline Roofing & Restoration, backed by Bertram Capital, completed its eighth acquisition in September (Roofing Contractor). Residential demand is uneven, and FirstService described the roofing market as "stubbornly weak and ultra competitive" (FirstService earnings call).

INFRASTRUCTURE AND MARINE CONSTRUCTION

The surface transportation authorization in the Infrastructure Investment and Jobs Act expired on September 30, and a continuing resolution carries highway programs through December 11 at fiscal 2026 levels (AASHTO Journal). State and local programs and private site work are carrying the sub-sector in the meantime. ARTBA expects the transportation construction market to reach $209.1 billion in 2026, about 3% above 2025 (ARTBA), Granite's committed and awarded projects stood at $7.4 billion at midyear (Granite), Orion Group's marine segment backlog was $554 million at midyear (Orion Group), and Sterling Infrastructure drew 78% of its second-quarter revenue from its E-

Infrastructure segment, which performs site development and electrical work for data centers, semiconductor plants and manufacturers (Sterling).

CRANE AND EQUIPMENT SERVICES

The American Rental Association forecasts US equipment rental revenue of $83.5 billion in 2026, an increase of 3.4% (ARA forecast reported by RER). United Rentals' specialty rental revenue grew 24.8% in the second quarter and Herc's revenue grew 20% (United Rentals; Herc). Crane, rigging and pump rental each have an active acquirer buying family-owned regional operators.

BUILDING PRODUCTS DISTRIBUTION

Consolidation among the largest distributors has changed the buyer list for independents. QXO followed its purchase of Beacon with purchases of Kodiak Building Partners for $2.25 billion and TopBuild for about $17 billion (QXO on Kodiak; QXO on TopBuild). New residential construction is the weak point in demand, and Builders FirstSource reported second-quarter sales down 8.8% (MDM). Ferguson has held up better, with non-residential sales up 8% and eight acquisitions announced this year (Ferguson).

TESTING AND INSPECTION

Demand for inspection, calibration and non-destructive testing is following power, infrastructure and data center construction. TIC Solutions reported a combined consulting, engineering and geospatial backlog of $1.18 billion, up 20% (TIC Solutions), Transcat's service revenue rose 27% (Transcat), and H.I.G. Capital agreed in September to acquire Mistras Group at an enterprise value of about $866 million (Inspectioneering).

> *"Demand for engineering and consulting (E&C) services is being shaped by three forces arriving at once: generational AI infrastructure investment, the peak spending phase of the Infrastructure Investment and Jobs Act (IIJA) and a new wave of federal water mandates."*
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> Baird, Engineering & Consulting Market Update, October 2026

> *"Strategic buyer appetite is robust and actively seeking pathways to uptier business mix and offerings."*
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> Houlihan Lokey, Q1 2026 Building Products Market Update

TRANSACTIONS ANNOUNCED IN 2026

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
February	Kodiak Building Partners	QXO	Building products distribution with 110 locations; $2.25 billion
February	J.E. McAmis, Vancouver, Washington (founded 1973)	Orion Group	Jetty construction and dredging; about $60 million plus an earn-out of up to $10 million
February	W.O. Grubb Crane Rental, Richmond, Virginia (family-owned since 1962)	Halo Partners	Crane rental, rigging and logistics from 13 depots; about 450 employees
February	Great Lakes Dredge & Dock, Houston, Texas	Saltchuk (privately owned)	Dredging; $17.00 a share, about $1.5 billion

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
March	McKee Utility Contractors, Oklahoma (Boyne Capital)	MasTec	Large-diameter water and wastewater pipelines; $276 million enterprise value
March	Roofing Standards, California	Tecta America (Altas Partners)	Commercial roofing
April	Four Star Paving, Nashville, Tennessee	Construction Partners	Commercial paving
May	Builders Supply Company, Lancaster, South Carolina (founded 1908)	US LBM	Lumber and millwork dealer
May	Hunt Electric, Utah	Comfort Systems USA (completed)	Electrical contractor with about $250 million of revenue
June	A. Hattersley & Sons, Fort Wayne, Indiana (founded 1856)	Foundral (McNally Capital)	Mechanical contractor
July	P&E Mechanical, Waco, Texas	Modigent (OMERS Private Equity)	HVAC and plumbing
August	United Rigging, Jacksonville, Florida	Ascent Lifting (Shorehill Capital)	Rigging and lifting products
August	Clark Rigging & Rental, upstate New York (family-owned since 1954)	Bay Crane	Crane rental, rigging and heavy haul
August	Budrovich Contracting's marine operations, St. Louis, Missouri	J.F. Brennan	Inland dredging and marine construction
August	Barnett Millworks, Theodore, Alabama	Trimlite (Wynnchurch Capital)	Door and millwork distribution
August	Southeastern Biomedical Associates, North Carolina (founded 1996)	Transcat	Calibration and repair; $12.8 million
September	1901 Inc., Madison, Wisconsin	Limbach Holdings	Mechanical, electrical and plumbing contractor expected to contribute about $140 million of revenue; $63 million plus an earn-out of up to $6 million
September	Pumping and Shoring Solutions, North Carolina (family-owned)	Holland Pump (Arcus Infrastructure Partners)	Pump rental, dewatering and shoring
September	Advantage Roofing & Exteriors, Kalamazoo, Michigan	Ridgeline Roofing & Restoration (Bertram Capital)	Roofing and exteriors
September	The Granite Group, Concord, New Hampshire	Watsco	Plumbing and HVAC distribution with 82 branches and about $500 million of revenue
September	Mistras Group	H.I.G. Capital (agreement)	Non-destructive testing and asset integrity; enterprise value about $866 million

The disclosed transactions show how much the type of revenue matters to price. Contractors whose earnings come from projects have traded at roughly 6 to 9 times EBITDA. Limbach paid $63 million upfront for 1901 Inc., which it expects to contribute about $11 million of adjusted EBITDA on $140 million of revenue in 2027, a multiple of about 5.7 times (Pulse 2.0), and Granite described its 2025 purchases of Warren Paving and Papich Construction as a blended

multiple of about 9.2 times expected adjusted EBITDA (Granite). Orion Group paid about $60 million, plus an earn-out of up to $10 million, for J.E. McAmis, a jetty and dredging contractor in Washington State (WorkBoat). Distributors and installers with scale have traded in the low to middle teens, and QXO's price for TopBuild was 14.9 times 2025 EBITDA before synergies. H.I.G. Capital's offer values Mistras at a little over nine times the adjusted EBITDA the company guided to for 2026 (Mistras Group). An owner whose crews are working on data centers, substations or public infrastructure is being underwritten very differently from one whose revenue follows housing starts.

BENCHMARK INTERNATIONAL IN THIS SEGMENT

Benchmark closed 45 transactions for building products and construction services companies in the 24 months to September 30, 2026, which makes this the firm's most active industrial segment, and it has 118 engagements in progress. The closed transactions include mechanical, electrical and low-voltage contractors, commercial and residential roofing, underground utility and paving contractors, crane rental, manufacturers of trusses, millwork, cabinets, doors and countertops, building products distributors, and testing and inspection firms. The engagements in progress cover the same trades, with specialty trade contractors making up the largest group.

05 Energy, Power & Environmental Services

224 GW	160 weeks	9.8x
Growth in summer peak demand in the latest 10-year forecast, up from 132 GW	Lead time for generator step-up transformers in the first quarter	Projected 2026 EBITDA after synergies that Veolia paid for Clean Earth

Businesses serving power generation, water, energy transition and regulated environmental markets with non-discretionary demand.

Electricity demand is growing at about 2% a year, the equipment needed to meet it is sold out years ahead, and the large environmental service companies are using acquisitions to add emergency response and field service capacity. Each of those conditions is drawing acquirers toward smaller companies that already hold the technicians, permits and customer relationships.

POWER GENERATION AND BACKUP POWER

The Energy Information Administration expects US electricity sales of 4,135 billion kilowatt-hours in 2026 and 4,211 billion in 2027, growth of about 2% in each year, driven by data center development and commercial and industrial activity (EIA). NERC's latest long-term assessment raised its 10-year forecast of summer peak demand growth to 224 gigawatts from 132 (POWER Magazine). GE Vernova's gas turbine backlog and slot reservations rose to 116 gigawatts from 100 during the second quarter (GE Vernova), and lead times for generator step-up transformers reached 160 weeks in the first quarter (Reuters, citing Wood Mackenzie). In backup power, Generac's commercial and industrial sales grew 29% to $556 million and its data center backlog reached about $1.6 billion (Generac), Cummins' Power Systems sales rose 19% to $2.3 billion (Cummins), and Caterpillar's power generation sales rose 29% to $3.1 billion (Caterpillar).

ENERGY CONSULTING

Willdan's net revenue rose 23.5% to $117.2 million in its second quarter, with organic growth of 18% (Willdan), and Bowman Consulting's power, utilities and energy revenue rose 38% (Bowman). Lawrence Berkeley National Laboratory put the revenue of US energy service companies at $10.7 billion in 2024 and projects $15.0 billion in 2027, with 78% of it coming from public and institutional customers (Berkeley Lab report summarized by NAESCO). Interconnection requests on the Texas grid exceeded 474 gigawatts by August, about 90% of them from data centers (Troutman Pepper Locke), and each of those requests needs interconnection engineering, procurement advice and efficiency work. Ameresco's second-quarter revenue rose 9% to $515.5 million and its total project backlog grew 32% to $6.7 billion, including $1.2 billion of data center infrastructure awards in the quarter (Ameresco).

WATER TREATMENT AND CHEMICALS

The federal drinking water limits of 4.0 parts per trillion for PFOA and PFOS remain in place, and the Environmental Protection Agency proposed in May to rescind the limits it had set for several other PFAS compounds (EPA). Service-based water treatment companies are being acquired at very small sizes. Kemira bought two California water treatment service businesses this summer, one with about $8.5 million of revenue and one with a little over $3 million (Kemira on ANMAC; Kemira on Clear Water Technologies).

ENVIRONMENTAL AND EMERGENCY RESPONSE

Clean Harbors' second-quarter revenue rose 12% to $1.74 billion, and the company agreed to buy ES&H of Louisiana for $305 million, which it described as 8.7 times EBITDA after synergies (Clean Harbors). Two weeks later it agreed to buy EnviroServe, a remediation and emergency response company with 40 locations, from One Rock Capital Partners for $470 million (Waste Advantage).

RECYCLING AND WASTE SERVICES

The public haulers are raising prices faster than their costs and spending steadily on tuck-in acquisitions. Core price rose 5.3% at Republic Services, which completed about $860 million of acquisitions in the first half (Republic Services), and Waste Connections acquired more than $100 million of annualized revenue in the year to date and expects "another outsized year" (Waste Connections). Recycled commodity prices are lower than a year ago, with WM's blended single-stream price at about $75 a ton against $84 (WM), which matters for recyclers whose revenue moves with commodity values.

> *"The grid, not chips, remains the primary bottleneck in the AI supply chain, with stagnant generation capacity and declining reserve margins driving the need for significant investment across power generation, transmission, and distribution infrastructure."*
>
> Baird's Perspectives on the Electrical Power Solutions Market, September 2026

> *"Valuation multiples for premier private platforms remained highly competitive, reflecting a sustained consensus around the durability of these assets despite broader macroeconomic crosscurrents."*
>
> Houlihan Lokey, Q2 2026 Environmental Services Market Update

TRANSACTIONS ANNOUNCED SINCE OCTOBER 2025

POWER, ELECTRICAL AND ENERGY SERVICES

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
January	ENTRUST Solutions Group **(Kohlberg)**	Leidos	Power design and engineering for utilities; $2.4 billion
January	TechPro Power Group	Integrated Power Services (Searchlight Capital Partners)	Power systems testing, commissioning and maintenance
February	Enercon Engineering**, East Peoria, Illinois (founded 1975)**	Generac	Generator enclosures, custom power equipment and switchgear
March	Power Quality Engineering**, Cedar Park, Texas (founder-led)**	Shermco (Blackstone)	Electrical engineering and commissioning for data centers and semiconductor plants
March	Valleywide Generator Service**, Arizona (owner-operated)**	GenServe (Aurora Capital Partners)	Maintenance and repair of commercial and industrial generators
March	Utility Rates Analysts**, Pennsylvania (founder-led, founded 1991)**	Environ Energy (424 Capital)	Utility bill auditing and energy procurement

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
April	TxLa Systems, Texas (owner-led, about 400 employees)	Mission Critical Group (Emerald Lake Capital Management)	Switchgear, modular power systems and e-houses
May	Burton Energy Group, Atlanta area (founder-owned)	Willdan	Energy management and procurement; about $103 million of 2025 contract revenue
July	CORE Transformers (founder-led)	Mission Critical Group (Emerald Lake Capital Management)	New, made-to-order and remanufactured power transformers
July	EN-POWER GROUP, New York (founder-led)	Verdantas (Sterling Investment Partners)	Energy efficiency and compliance engineering for buildings
August	Beeson & Associates, Louisville, Kentucky	Environ Energy (424 Capital)	Energy procurement and commodity risk advisory
August	KCS Corporation, suburban Chicago (founded 1999)	Willdan	Substation and transmission engineering; 15 employees
August	Connected Energy, Pittsburgh, Pennsylvania	CLEAResult	Demand management programs for utilities
August	NORESCO, Westborough, Massachusetts (Carrier)	OPTERRA Energy Services (LS Power)	Energy performance contracting
August	Bowman Consulting, Reston, Virginia	Bernhard Capital (agreement)	Engineering and infrastructure consulting; $43.00 a share, an enterprise value of about $1.0 billion
September	Mantis Innovation, Houston, Texas	Willdan (agreement)	Facility energy and efficiency services with about 220 employees; $285 million

WATER, ENVIRONMENTAL AND WASTE SERVICES

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
October 2025	Boomer Environmental, Oklahoma City (established 2002)	Enviracore Services (Seaside Equity Partners)	Industrial cleaning, wastewater treatment and emergency response; the buyer's first platform investment
January	Allmetal Recycling, Kansas (family-owned, founded 2009)	Scrap Management Industries	Ferrous and nonferrous scrap recycling at 10 locations
January	AquaBlue, Ohio (privately owned)	Kemira	Industrial water and wastewater treatment service; a price below $10 million on about $9 million of revenue
February	Depot Connect International's industrial and rail services unit	Clean Harbors	Industrial and rail services at five sites; about $130 million
April	Star Waste Systems, eastern Massachusetts (founder and Clairvest)	Casella Waste Systems	Waste collection, construction and demolition processing and transfer; about $100 million of annualized revenue
May	Robinson Waste Services, northern Utah (founded 1989; ERA Partners)	Republic Services	Collection, transfer, recycling and disposal

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
May	Darling Ingredients' trap grease business	Waste Resource Management (Ridgewood Infrastructure)	Grease trap collection and processing in 13 metropolitan markets
June	Clean Earth (Enviri)	Veolia (completed)	Hazardous waste treatment; $3 billion
June	Haynes Equipment Company, Olathe, Kansas (in business for 65 years)	Impel (Pike Street Capital)	Water and wastewater flow control equipment in six Midwest states
June	Clear Water Technologies, California	Kemira	Boiler and cooling tower water treatment service; more than $3 million of revenue
July	ANMAC Water Treatment Service, California	Kemira	Water treatment for buildings; about $8.5 million of revenue
July	ES&H, Louisiana	Clean Harbors (agreement)	Emergency response and field services; $305 million
August	EnviroServe, Sandy, Utah (One Rock Capital Partners)	Clean Harbors (agreement)	Remediation, industrial cleaning and emergency response; $470 million
August	Trinity Consultants, Dallas (Oak Hill Capital)	Veritas Capital (agreement)	Environmental, health and safety consulting from 48 offices
September	Three Midwest haulers in Iowa and Minnesota	Blue Castle Waste Solutions (Blue Sage Capital)	Residential and commercial waste collection
October	Certified Blue Recycling, San Leandro, California	GreenWaste (Macquarie Asset Management)	Construction and demolition recycling

Electrical testing and commissioning is the most contested category in the power sub-sector, with Integrated Power Services and Shermco both acquiring and both citing data center demand. Equipment supply is drawing the same attention: Mission Critical Group bought a Texas switchgear manufacturer and a transformer supplier within four months of each other, and GenServe bought an owner-operated generator service company in Arizona to add field technicians. In water, Xylem's orders rose 42% to $3.1 billion in the second quarter (Xylem), and Kemira bought AquaBlue in Ohio in January before making its two California purchases.

Energy consulting produced a steady run of founder exits in 2026. Willdan bought Burton Energy Group, a founder-owned energy management and procurement firm near Atlanta, and KCS Corporation, a 15-person substation engineering firm outside Chicago, and it agreed in September to pay $285 million for Mantis Innovation, a price of about 2.4 times the $120 million of net revenue Mantis expects in 2026 (Pulse 2.0). Environ Energy, a 424 Capital company, bought Utility Rates Analysts, a Pennsylvania firm founded in 1991 and still led by its founder, and Beeson & Associates in Louisville. Verdantas bought the founder-led efficiency engineer EN-POWER GROUP in New York, and Bernhard Capital agreed to take Bowman Consulting private at a 58% premium. The buyers are adding engineers, procurement advisers and utility program contracts that take years to build, which is the same reasoning that drives the purchases of testing and commissioning firms.

The disclosed prices in environmental services sit in a narrow range. Veolia paid $3 billion for Clean Earth, which it described as 9.8 times projected 2026 EBITDA after synergies (Pulse 2.0), and Clean Harbors cited 8.7 times for ES&H on the same basis. In waste, the consolidators have stated the size of company they want. Casella had completed five acquisitions with about $165 million of annualized revenue by early August (Casella), and its management told

investors that its focus through early 2027 is on tuck-in acquisitions with roughly $10 million to $20 million of revenue (Casella earnings call summary), which describes a large number of family-owned haulers and transfer stations.

BENCHMARK INTERNATIONAL IN THIS SEGMENT

Benchmark closed seven transactions for energy, power and environmental services companies in the 24 months to September 30, 2026, and has 28 engagements in progress. The closed transactions include water treatment chemicals, industrial plastics recycling, used cooking oil collection, standby generator sales and electrical service, power generation engineering and pipeline erosion control. The engagements in progress include commercial and residential solar installers, scrap metal and electronics recyclers, environmental consulting and remediation firms, oilfield service companies, energy brokerage and efficiency businesses, and waste equipment service.

06 Transportation & Logistics

11.3%	40.0	$6.38
Rise in the Cass truckload linehaul index in August from a year earlier	Logistics Managers' Index for transportation capacity, the ninth month of contraction	Average price of a gallon of diesel in the week of September 28

Carriers, 3PLs and specialized logistics providers with diversified shippers and capabilities buyers cannot easily replicate.

The freight market turned in 2026 after more than three years of contraction, and the recovery has come from carriers leaving the market more than from shippers moving more goods. Rates and carrier margins have improved as a result, fuel has become the largest cost risk, and acquirers are favoring dedicated contract fleets, customs and cross-border capability, and specialized services over general truckload capacity.

DEDICATED AND INTERMODAL TRUCKING

The Cass Freight Index for shipments rose 2.1% from a year earlier in August, the first annual increase since January 2023, while freight expenditures rose 18.7% and the truckload linehaul index rose 11.3% (Cass Information Systems). The American Trucking Associations' tonnage index was 1.6% lower than a year earlier in the same month, and its chief economist said the market "has certainly flipped this year, but recent tonnage levels confirm this is due to reduced capacity, not robust demand" (ATA). Spot van rates averaged $2.19 a mile before fuel in August, more than 30% above August 2025, and contract rates averaged $2.41 (DAT). J.B. Hunt's second-quarter revenue rose 19%, with intermodal revenue up 22% and dedicated revenue up 9% (J.B. Hunt), and Knight-Swift's revenue rose 12.6% as revenue per loaded mile in its truckload business rose 5.5% (Knight-Swift). US rail intermodal volume is 4.1% ahead of 2025 for the year to late September (AAR data via AJOT).

CAPACITY AND COST

The Logistics Managers' Index put transportation prices at 90.0 and transportation capacity at 40.0 in August, the ninth consecutive month in which capacity contracted (Logistics Managers' Index). Federal enforcement is part of the reason. An industry coalition expects more than 194,000 holders of non-domiciled commercial licenses to become ineligible (FreightWaves), and English-proficiency violations again place drivers out of service (CCJ). Diesel averaged $6.38 a gallon in the week of September 28 (EIA), and North American orders for Class 8 trucks were 18,200 in August, 42% more than a year earlier, after a year of buying ahead of the 2027 emissions standard (FTR data reported by FreightWaves).

3PL AND CUSTOMS BROKERAGE

Import volumes have held up through repeated tariff changes. The Port of Los Angeles handled 955,907 twenty-foot equivalent units (TEUs) in August and a record 2.9 million across June, July and August (FreightWaves), and the National Retail Federation forecasts 25.7 million TEUs of imports for 2026, about 1% more than 2025 (NRF Global Port Tracker via Textile World). Trade with Mexico reached a monthly record of $94.8 billion in July, 27.5% above a year earlier, and $35.9 billion of it moved through Port Laredo (Census data reported by FreightWaves). Every change in tariff schedules adds classification and compliance work for customs brokers, and the Supreme Court's February ruling against the emergency tariffs did not set a refund mechanism, which has left brokers tracking liquidation dates

and assembling entry records for their importers (NCBFAA). Logistics platforms have responded by buying brokers at the border, and Redwood Logistics and Imperative Logistics Group each acquired a founder-owned customs broker in Laredo this year.

EXPORT CRATING AND RIGGING

Reshoring, data center construction and new plant construction create demand for machinery moving, crating and plant relocation, and these services sit close to the manufacturers described earlier in this report. Spending on data center construction was more than 73% higher in August than a year earlier (ABC analysis reported by MDM), and Manitowoc's crane orders rose 56.1% to $708.7 million in the second quarter (Manitowoc). MEI Industrial Solutions, the former MEI Rigging & Crating owned by Olympus Partners, opened the year by acquiring CCI Industrial Services, a Kentucky rigging, machinery moving and millwright contractor with about 120 employees (MEI Industrial Solutions). Omega Morgan bought an owner-operated machinery mover in Seattle, JK Technology Services bought a Virginia rigging company that works in data centers, Bragg Companies bought a heavy transport operator in Arizona, and Specialized Packaging Group bought an owner-operated crating business near Dallas.

PALLETS AND PACKAGING LOGISTICS

Volumes are soft and costs are rising, which favors acquirers with scale. UFP Industries' packaging segment grew sales 6.9% to $458.2 million in the second quarter while its adjusted EBITDA margin fell to 6.1% from 9.1%, and unit volume at its PalletOne business was 3% lower (UFP Industries). Brambles reported a 2% decline in like-for-like pallet volumes at CHEP Americas for the year to June and noted tightening availability of quality whitewood pallets in the United States (Brambles). The producer price index for wood pallets rose 4.7% between March and July (BLS data via FRED). UFP bought two pallet manufacturers in the spring. It paid about $20 million including real estate for Berry Pallets of Waseca, Minnesota, which has about $23 million of revenue (UFP Industries), and about $48 million for John Rock of Coatesville, Pennsylvania, which has about $82 million of sales (UFP Industries). In packaging distribution, SupplyOne announced four acquisitions of owner-operated or family-owned companies during the year and Veritiv announced at least three.

MARINE AND SUBSEA

Kirby's marine transportation revenue rose 9% to $537.0 million in the second quarter, with inland barge utilization in the low-90% range and coastal utilization in the high-90% range (Kirby). Offshore service activity is steady. Oceaneering's remotely operated vehicles were 66% utilized at an average of $11,894 a day in the second quarter (Oceaneering), Tidewater's active fleet was 81.4% utilized at an average day rate of $22,938 (Tidewater), and Helix's well intervention vessels were 91% utilized (Helix Energy Solutions). Ownership is consolidating among private and family-owned operators. Hines Furlong Line completed its purchase of Campbell Transportation's river division in February, which leaves it operating more than 800 barges and 64 towboats. Chouest bought a Louisiana decommissioning contractor, C-Dive bought Helix's shallow-water fleet, and Turn Services acquired St. John Fleeting on the Lower Mississippi in September.

> *"After a prolonged period of rate volatility and supply chain normalization over the past two years, the freight cycle turned a corner in early 2026."*
>
> Houlihan Lokey, Summer 2026 Transportation and Logistics Market Update

> *"Transportation and logistics M&A is well positioned for a rebound, with burgeoning enthusiasm for dealmaking among both businesses and investors."*
>
> Harris Williams, Outlook 2026: Transportation & Logistics

TRANSACTIONS ANNOUNCED IN 2026

TRUCKING, BROKERAGE AND CUSTOMS

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
January	**FirstFleet, Murfreesboro, Tennessee (founded 1986)**	Werner Enterprises	Dedicated contract carrier with approximately 2,400 tractors and $615 million of revenue; $245 million plus $37.8 million for real estate
January	**Dart Transit, Eagan, Minnesota (Oren family since 1934)**	Avkha Equity Holdings	Truckload carrier with 971 power units
January	**Granite Logistics, Sartell, Minnesota (owner-operated)**	Trinity Logistics	Flatbed and heavy-haul freight agency with about 135 employees
January	**ITS Logistics (GHK Capital Partners)**	Echo Global Logistics (TJC)	Drop trailer, dedicated, drayage and fulfillment services
February	**Key Trucking, Kent, Washington (family-owned since 1987)**	Estes Logistics	Van, flatbed and transload services; owners retiring
February	**Promptus, Miramar, Florida (founder-owned)**	Allstates WorldCargo	Customs brokerage and forwarding on Latin American, Asian, European and Caribbean lanes
March	**EELCO, Laredo, Texas (founder-owned since 1991)**	Redwood Logistics (AEA Investors)	Customs brokerage and a foreign-trade-zone warehouse
April	**Triangle Warehouse, Minneapolis, Minnesota**	TA Dedicated (TFI International)	Dedicated trucking with about 150 power units and 900,000 square feet of warehousing
June	**DeSpir Logistics**	C.H. Robinson	Secure transport and cargo escort with $62 million of revenue; about $75 million
June	**Jose D. Gonzalez, CHB, Laredo, Texas (founder-owned since 1994)**	Imperative Logistics Group (Littlejohn & Co.)	Customs brokerage
June	**Dedicated Systems Inc., Green Bay, Wisconsin (family-owned)**	AmeriLux Transportation & Logistics	Flatbed and over-dimensional hauling with 68 trucks
June	**AG Freight, Piedmont, South Carolina (founder-owned)**	Behnke Dedicated & Logistics (completed)	Truckload, drayage and expedited freight
August	**California Freight (founder-owned since 1989)**	Trimac Transportation	Food-grade bulk transport with 452 trucks
August	**Hansen & Adkins, Los Alamitos, California (founder-owned since 1994)**	Proficient Auto Logistics (agreement)	Auto hauling; $130 million at closing, including about $75 million of assumed debt

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
August	Higgins Transport Service, Charleston, South Carolina	RoadOne IntermodaLogistics (Ridgemont Equity Partners)	Port drayage
August	Arrive Logistics	Mubadala Capital (majority investment)	Truckload brokerage
October	RXO	C.H. Robinson (agreement)	Truck brokerage, managed transportation and last mile; an implied value of $5.8 billion

PALLETS, PACKAGING LOGISTICS, CRATING AND RIGGING

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
January	CCI Industrial Services, Somerset, Kentucky	MEI Industrial Solutions (Olympus Partners)	Rigging, machinery moving and millwrighting
January	Wertheimer Box, McCook, Illinois (family-owned, founded 1939)	SupplyOne	Corrugated packaging distribution
February	Omega Riggers, Seattle, Washington (owner-operated)	Omega Morgan	Machinery moving and rigging
February	Pack4, Boston area (owner-operated)	Veritiv	Protective packaging fabrication and distribution
February	Robinson Industries, Coleman, Michigan	ORBIS	Thermoformed plastic pallets and trays; about 100 employees
March	Specialty Packaging, East Hartford, Connecticut (founder-owned)	SupplyOne	Packaging distribution
April	Berry Pallets, Waseca, Minnesota	UFP Industries	New pallet manufacturing with about $23 million of revenue; about $20 million including real estate
May	John Rock, Coatesville, Pennsylvania (Kamps)	UFP Industries	New pallet manufacturing at three plants with about $82 million of sales; about $48 million
May	Quick Pak, Tampa, Florida (founder-owned), and Stickel Packaging Supply, New Jersey (family-owned)	Veritiv	Packaging supplies distribution
June	Compass Packaging Solutions, North Billerica, Massachusetts (owner-operated, founded 2011)	SupplyOne	Protective packaging, fulfillment and kitting
June	PRO Pallet, Dover, Pennsylvania (founder-owned)	Columbia Forest Products (employee-owned)	Custom pallets, pallet recycling and crating
June	Precision Heavy Haul, Tolleson, Arizona	Bragg Companies	Heavy transport with self-propelled and multi-axle trailers
August	360 Rigging, Manassas, Virginia (established 2016)	JK Technology Services	Crane and rigging services for data centers

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
September	DFW Crating & Packaging, Grand Prairie, Texas (owner-operated)	Specialized Packaging Group	Custom industrial crating
October	Packaging Design Corp., Burr Ridge, Illinois (owner-operated, founded 1968)	SupplyOne	Custom corrugated packaging and displays; the buyer's 49th acquisition

MARINE AND SUBSEA

ANNOUNCED	SELLER	BUYER	BUSINESS AND DISCLOSED TERMS
January	Bay City Marine, National City, California	Técnico Holdings (employee-owned)	Ship repair
January	Anchorage Launch Services, Portland, Oregon	Diversified Marine	Launch services with five vessels
February	Campbell Transportation's river division	Hines Furlong Line (completed)	Inland barge and towboat operations; the combined fleet has more than 800 barges and 64 towboats
February	Arcosa Marine Products, Covington, Louisiana (Arcosa)	Wynnchurch Capital (agreement)	Barge building and repair; $450 million on $383 million of 2025 revenue
March	Champagne Energy Solutions, Houma, Louisiana	Chouest Group	Offshore decommissioning and dive support vessels
May	Helix Alliance (Helix Energy Solutions)	C-Dive	Nine liftboats, six supply vessels and three dive support vessels (Helix); $107.5 million
May	Lind Marine, Vallejo, California (Kingswood Capital and the Lind family)	Tallvine Partners	Dredging, shipyard and salvage with more than 40 vessels
July	Zupt, Houston, Texas (founded 2005)	Rosenxt	Subsea metrology and inspection
September	St. John Fleeting, Louisiana	Turn Services	Barge fleeting, shifting and towing on the Lower Mississippi

Werner's purchase of FirstFleet is the clearest statement of what acquirers want. Werner pointed to an average tenure of 17 years among FirstFleet's ten largest customers (Werner), and its chief executive said, "We've been very deliberate over the past few years about transitioning our portfolio increasingly towards the higher-margin dedicated trucking business" (Transport Topics). The price for the operating business was roughly 0.4 times revenue, a reminder that asset-based carriers are valued on earnings and equipment and that long customer tenure is what distinguishes one fleet from another. Asset-light specialists were priced differently, and C.H. Robinson paid about $75 million for DeSpir Logistics, a secure transport provider with $62 million of revenue. UFP paid a little under one times revenue for Berry Pallets and about 0.6 times sales for John Rock, and Wynnchurch Capital's agreement to buy Arcosa's barge-building business for $450 million equals about 6.6 times the $68 million of adjusted segment EBITDA the business earned in 2025 (WorkBoat). None of the founder-owned or family-owned sellers disclosed an EBITDA multiple.

Most of the sellers in this list are founders and families, and several announcements describe an owner's retirement. The buyers wanted a capability or a location they did not have, such as a customs brokerage at the Laredo crossing, a food-grade bulk fleet in California or a drayage operation at the Port of Charleston. Gaurang Shastri, a managing director at Lincoln International, described the market to Transport Topics in July: "The simplest way to describe

today's market is that buyers are acquiring capabilities rather than capacity" (Lincoln International). Benchmark International's own recent transactions in this segment fit that description, because each acquirer was adding warehousing, cross-border or fulfillment capability it did not have. C.H. Robinson's agreement on October 5 to acquire RXO at an implied value of $5.8 billion, with about $300 million of expected annual cost savings, shows the same reasoning at the top of the brokerage market.

> *"Strategic buyers and PE sponsors alike continue to prioritize these differentiated platforms because they command higher margins, boast sticky customer relationships in resilient end markets, and differentiate themselves with a level of service and capabilities that traditional scale-driven networks cannot match."*
>
> Houlihan Lokey, Summer 2026 Transportation and Logistics Market Update

BENCHMARK INTERNATIONAL IN THIS SEGMENT

Benchmark closed three transactions for transportation and logistics companies in the 24 months to September 30, 2026, and has 14 engagements in progress. The closed transactions were a cross-border freight forwarding and customs brokerage group, a warehousing and transloading operator, and a fulfillment and distribution company. The engagements in progress include truckload and refrigerated carriers, intermodal drayage, freight brokerage and forwarding between the United States and Mexico, customs compliance and dedicated distribution services.

07 Recent Industrial Engagements

The 59 transactions below are Benchmark International industrial engagements that closed in the 24 months to September 30, 2026 and have been announced publicly. Each client name links to the announcement on benchmarkintl.com. A further 26 transactions closed in the same period and have not been announced.

MANUFACTURING & INDUSTRIAL TECHNOLOGY

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Technical Metals, Inc.	Precision machining and fabrication	ISO-certified CNC machining for industrial equipment manufacturers; Fairbury, Illinois	Manufacturing Revitalization Corporation of America (MRCA)
EZ Fabricating, Inc.	Precision machining and fabrication	Laser cutting, machining, welding, tube bending and metal finishing; Minnesota	House Rock Capital Partners
Metro Metal Works, Inc.	Precision machining and fabrication	Sheet metal and structural steel tube fabrication; McDonough, Georgia	Seddon Point Capital
Automated Production LLC	Precision machining and fabrication	CNC machining, turnkey fabrication and plate cutting; Louisiana	Prenn Holdings, LLC
Romtex Enterprises, Inc.	Precision machining and fabrication	Custom precision machining for large and small production runs	Windlass Engineers & Services
Rohder Machine & Tool, Inc.	Precision machining and fabrication	Hot-forged fasteners and machined products; Crown Point, Indiana	Boulons Plus, parent company of Precision Bolts
Rhodes Manufacturing	Precision machining and fabrication	Storage tank manufacturing and service; Somerset, Ohio	Con-V-Air USA
Vail Products, a division of Hammersmith Manufacturing and Sales	Precision machining and fabrication	Land management attachments for compact track loaders and skid steers; Kansas	Tarter USA
Spadone LLC	Precision machining and fabrication	Machinery for the tire, rubber, plastics and recycling industries; Willow Grove, Pennsylvania	Private investors
Seal Tite Corporation	Precision machining and fabrication	Gaskets, seals and O-rings; St. Louis, Missouri	A strategic acquirer
Invocon, Inc.	Aerospace and defense components	Instrumentation, wireless sensing and telemetry systems for aerospace platforms; Texas	Cemtrex, Inc.
Paragon Manufacturing Corp.	Electronics and microelectronics	Cables, wire harnesses, electro-mechanical assemblies and box builds	BlueRock Global Private Equity
Laser Lens Tek, Inc. (American Photonics)	Electronics and microelectronics	Precision optical components and coatings for laser systems; Sarasota, Florida	BlueRock Global Private Equity
A.T. Parker, Inc. (Solar Electronics Company)	Electronics and microelectronics	Test equipment for radio frequency and electromagnetic interference; California	Assessimus Group GmbH

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Innovation Mold and Design, Inc.	Plastics and molding	Injection mold manufacturing for automotive, medical, electrical and consumer products; Wisconsin	Halifax West
River City Coatings	Coatings and metal finishing	Powder coating for industrial and automotive customers; Van Buren, Arkansas	Ryan Castleberry, an individual buyer
MaxVac Inc.	Pumps, vacuum and flow control	Sales, repair and maintenance of industrial vacuum pumps; California	DXP Enterprises, Inc.
Complete Control Services, Inc.	Automation and controls	Instrumentation, calibration and control system integration for water utilities; New Jersey	Amtech Drives, Inc.

INDUSTRIAL DISTRIBUTION & SERVICES

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
DW Industries	Hydraulics and fluid power	Hose and hose assemblies for petrochemical, oilfield, defense and marine customers; Texas	TIPCO Technologies
Texas Contractors Equipment, Inc.	MRO and parts distribution	Ground-engaging tools, wear parts and attachments for heavy equipment; Houston, Texas	An individual investor
NDT Repair Service & Supply, Inc.	MRO and parts distribution	Equipment, consumables, repair and calibration for non-destructive testing	28th Day Holdings, Inc.
FPS Technologies, Inc.	Fire and life safety	Fire suppression and detection systems; Oklahoma City, Oklahoma	Cintas Corporation
Fire Systems Technology, Inc.	Fire and life safety	Fire sprinkler design, installation and inspection; Fort Smith, Arkansas	AI Fire
High Tech Solutions - Systems Group, Inc.	Fire and life safety	Fire alarm, security and special systems; Montana	AI Fire
Trinity Industrial Services, LLC	Industrial maintenance and turnarounds	Industrial maintenance, capital projects, turnarounds and fabrication; Beaumont, Texas	Aecon Group Inc.

BUILDING PRODUCTS & CONSTRUCTION SERVICES

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Climate Engineering, Inc.	Mechanical, electrical and plumbing	Commercial HVAC and building automation; Denver area, Colorado	Harris Company
M.S. Johnston Co., Inc.	Mechanical, electrical and plumbing	Commercial HVAC and refrigeration; Hagerstown, Maryland	An individual investor
Bredan Mechanical Systems, Inc.	Mechanical, electrical and plumbing	Commercial and industrial HVAC, plumbing and sheet metal; Wisconsin	An undisclosed buyer

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Clearline Networks, LLC	Mechanical, electrical and plumbing	Structured cabling, audiovisual and security systems; Nashville area, Tennessee	Zeus Fire and Security
M&M Roofing Co.	Roofing and exteriors	Residential roofing, windows and siding; Texas	Allied Roofing Partners
Alumitec, Ltd.	Roofing and exteriors	Restoration and maintenance of architectural metal facades	The January 23rd Company
Power Maintenance Services, Inc.	Roofing and exteriors	Commercial exterior painting and reconstruction; Southern California	Platt Park Capital Partners, LLC
Matheson Painting	Roofing and exteriors	Commercial and industrial coatings and linings; Pasco, Washington	An undisclosed buyer
Gilco Restoration, Inc.	Roofing and exteriors	Property restoration and reconstruction; Williamsburg, Virginia	Thomasville Restoration
Drywall Contractors, Inc.	Interior contracting	Framing, drywall and interior finishes; Indiana	An undisclosed buyer
Blazey Construction Services LLC	Infrastructure and marine construction	Underground utilities and heavy civil construction; Texas	A strategic acquirer
KMI Sports Construction, LLC	Infrastructure and marine construction	Sports venue and field construction; Austin, Texas	Sundance Partners
CMG, Inc.	Infrastructure and marine construction	Commercial construction and multi-site rollout programs; Kirkwood, Missouri	Willow Creek Partners
Clark Crane, LLC	Crane and equipment services	Crane rental and rigging; Nashville, Tennessee	Capital Extension Crane & Lift
Claussen, Inc.	Building products	Wood roof and floor trusses; Texas	Colonial Truss, LLC
Concepts in Millwork, Inc.	Building products	Custom architectural millwork; Colorado Springs, Colorado	Quivion
Cabinet Max Corporation	Building products	Architectural millwork and casework; Maryland	An individual investor
Komponents Laminated Products	Building products	Custom casegoods, furniture and laminated components; Oconomowoc, Wisconsin	The Brewer Company
Presidio Doors, LLC	Building products	Custom steel doors, windows and gates	First Impression Ironworks
Hammerhead Holding, Inc.	Building products	Countertops and bath surrounds for homebuilders; Phoenix, Arizona	Constellation Capital Group, LLC
Zip Kit Homes	Building products	Modular and panelized kit homes	Deal Team USA
Porter Preston, Inc.	Building products distribution	Roller shade fabrication and distribution of window coverings; Waterbury, Connecticut	Lime LLC
World Panel Products, Inc.	Building products distribution	Marine plywood, teak and specialty wood panels; Florida and North Carolina	An independent investor

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Affordable Garage Doors, Inc.	Building products distribution	Garage door sales, installation and service; Indiana and Illinois	A.S.A.P. Garage Door Repair, a Centerfield Capital Partners company
Briggs Engineering & Testing (PK Associates, Inc.)	Testing and inspection	Geotechnical, building envelope and materials testing and special inspection	Phenna Group
Metals Testing Services	Testing and inspection	Non-destructive testing, heat treatment and inspection	An undisclosed buyer

ENERGY, POWER & ENVIRONMENTAL SERVICES

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
Storm Guardian Generators, LP	Power generation and backup power	Standby generator sales and installation with electrical and plumbing service	Liberty Service Partners
WESCO Chemicals, Inc.	Water treatment and chemicals	Water treatment chemical production and service	Apex Water and Process Inc.
Capitol Plastics Recycling Inc.	Recycling and waste services	Industrial plastics recycling, including sortation, size reduction and pelletizing	Triumvirate Environmental
Stirling Food Systems, Inc.	Recycling and waste services	Bulk cooking oil delivery and used oil collection; Ocala, Florida	GreaseCycle, LLC
Seabed Services, LLC	Environmental services	Erosion control for pipeline, utility and highway customers; Houston, Texas	An undisclosed buyer

TRANSPORTATION & LOGISTICS

CLIENT	SUB-SECTOR	BUSINESS	ACQUIRER
The Carmi Companies	3PL and customs brokerage	Cross-border transportation, logistics and customs clearance; Laredo, Texas	The Nearshore Company
ADC Trucking	Dedicated trucking and warehousing	Warehousing, transloading, cross-docking and local delivery; Cleveland area, Ohio	Vana Specialty Packaging
Christian Network International	3PL and fulfillment	Fulfillment and distribution; Tennessee	Symbia Logistics

Figures in this section and in the Benchmark International paragraphs of this report are drawn from the firm's transaction records as of October 1, 2026. Company-wide, Benchmark International reports more than $14.2 billion of transaction value and an average of 190 closings a year over the last four years (Benchmark International).

08 What We're Seeing in the Industrial Sector

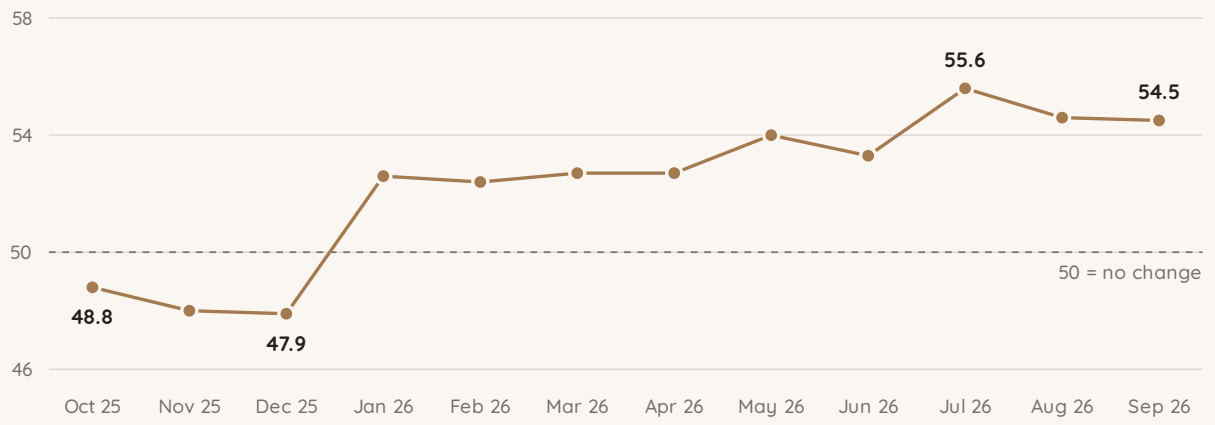
Four themes run through the transactions described above: reshoring and supply-chain resilience, platform building by private equity, infrastructure and electrification, and the value buyers place on service and aftermarket revenue. They are playing out in a deal market where financing became more expensive in September.

01 Reshoring and supply-chain resilience

Demand for domestic manufacturing capacity is broad, capacity is not yet tight, and input costs are rising quickly. The ISM Manufacturing PMI has been above 50 in every month of 2026.

Manufacturing has expanded in every month of 2026

ISM Manufacturing PMI, monthly. Readings above 50 indicate expansion.



Source: Institute for Supply Management, Manufacturing Report On Business, October 2025 to September 2026.

The September ISM report showed new orders at 55.3, the backlog of orders at 56.4 and customers' inventories at 41.6, a level that points to further restocking. Twelve manufacturing industries reported growth and two reported contraction (ISM). S&P Global's separate manufacturing PMI for the same month was 55.9, the strongest reading since May 2022 (S&P Global data via Trading Economics).

The output data have moved more slowly than the surveys. Manufacturing capacity utilization was 75.7% in August, about 2.5 points below its long-run average (Federal Reserve G.17), while core capital goods orders are up 10.6% for the year to date (Census Bureau). Manufacturing construction spending ran at an annual rate of $170.7 billion in August, 31.8% below its September 2024 peak and level with the prior two months (Census Bureau; historical series via FRED). The factories started in 2023 and 2024 are now being equipped and staffed, which is where the demand for machine tools, automation and integration services is coming from.

Labor is the binding constraint on output. Manufacturing job openings were 522,000 in August, 25.5% above a year earlier (BLS JOLTS). A fabricated metals respondent told ISM, "Our biggest challenge continues to be a severe shortage of workers, limiting our production output to meet demand." Input costs are the main pressure on margins. The ISM prices index rose to 77.9 in September, and rising raw material costs were the top concern in the National Association of Manufacturers' third-quarter survey for the second quarter in a row (NAM).

Trade policy has changed several times this year and remains unsettled. The Supreme Court ruled on February 20 that the International Emergency Economic Powers Act does not authorize tariffs (case summary, Faegre Drinker). Since July 24 the baseline has been a Section 301 tariff of 10% or 12.5% on 60 trading partners (USTR, and the Court of International Trade heard a challenge to it on September 30 (Reuters). Section 232 duties of 50% on steel, aluminum and most copper articles remain in force (Federal Register). The United States declined to renew the USMCA on July 1, and the agreement remains in force pending resolution of the issues raised in that review (USTR). For a domestic manufacturer or distributor, the practical consequence is that buyers now ask for gross margin by month across each tariff change, because that record shows how quickly cost increases were passed through to customers.

02 Platform building by private equity

Private equity firms hold 13,509 US companies, and the companies they sold in the first half of 2026 had been owned for a median of 6.4 years. US private equity deal value was $461.0 billion in the first half, 10.6% below the first half of 2025, and an estimated 885 add-on acquisitions made up about three-quarters of all buyouts in the second quarter (PitchBook Q2 2026 US PE Breakdown). Business-to-business companies, the category that holds most industrial and distribution businesses, produced $40.6 billion of exit value in the second quarter, roughly 45% of all realizations.

For a founder-owned industrial company, this means that the private equity buyer at the table is usually a platform the sponsor already owns. The 2026 transactions in this report show the pattern in every segment: Threadlock Precision and Precinmac in aerospace machining, Meritus Gas Partners in gas distribution, Pye-Barker with 22 fire and life safety acquisitions in six months, Motion & Control Enterprises with four fluid power acquisitions, Ridgeline in roofing and Blue Castle in waste collection. These buyers know the sub-sector, move quickly and can often offer the owner continued equity in the larger company.

> *"Sponsors remain highly active and are competing hard for high-quality, stable assets. With substantial dry powder to deploy and a growing backlog of portfolio companies to exit, private equity is a powerful source of both demand and supply, adding to the depth and competitiveness of current processes."*
>
> Baird, Global Industrial Group 2026 Mid-Year Update

Houlihan Lokey, writing about packaging and plastics, expects "sponsors to remain focused on bolt-on strategies to build scale and prepare for a more active exit window in 2027" (Houlihan Lokey, 1H 2026 Packaging, Plastics, and Paper Market Update).

03 Infrastructure and electrification

Power and data center construction is the strongest source of demand across all five segments. It appears in the 116 gigawatts of gas turbine commitments at GE Vernova, the $14.06 billion backlog at Comfort Systems USA, the extra month and a half of backlog that ABC contractors report when they do data center work, the 29% growth in commercial and industrial generator sales at Generac, and the machine tool orders placed by electrical equipment manufacturers. Meta alone expects capital expenditures of $130 billion to $145 billion in 2026 (Meta).

Public infrastructure funding is less certain than it was a year ago. The surface transportation authorization expired on September 30 and highway programs are operating under a continuing resolution through December 11, while the House committee's five-year successor bill awaits action in the Senate (AASHTO Journal; Roll Call). Contractors and suppliers whose work depends on federal highway money should expect buyers to ask how much of the backlog is already funded.

> *"Investor interest remains strong for companies tied to a variety of megatrends, including the energy transition, electrification, and grid modernization; infrastructure upkeep and upgrades; and a heightened focus on sustainability, connectivity, and digitization."*
>
> Harris Williams, Outlook 2026: Energy, Power & Infrastructure

04 Service and aftermarket revenue

Recurring service revenue is being valued more highly than project or product revenue in every segment covered here. Transcat's service revenue grew 27%. APi Group is working toward 60% of revenue from inspection and service (APi Group). When Rollins bought Romex Pest Control for $95.7 million, it assigned almost nine-tenths of the price to customer contracts and goodwill (Rollins Form 10-Q), which shows what a buyer of recurring revenue is paying for.

The practical step for an owner is to report service, repair, inspection and aftermarket parts revenue separately from project and product sales, with the renewal history of the agreements behind it, because buyers pay for that revenue only when they can see it.

The deal market and the cost of capital

Global M&A value reached a record $2.85 trillion in the first half of 2026, 50% above the first half of 2025, while the number of transactions fell 9%. Deal activity in LSEG's industrials category rose 57% (LSEG data reported by Investment Executive). The third quarter was much slower, as value fell 41% from the second quarter to $993 billion, the first quarter below $1 trillion since the second quarter of 2025, and only ten transactions above $10 billion were announced (LSEG data reported by Reuters). Mergermarket, which uses a different dataset, counted $4.44 trillion for the first nine months, 27% above the prior year, on 1% fewer transactions, and described "a marked third-quarter slowdown" (Mergermarket). In industrial manufacturing, strategic acquirers accounted for 86% of deal value over the last twelve months in PwC's midyear review (PwC).

Reuters attributed the slowdown to rising borrowing costs. The Federal Reserve held its target range at 3.50% to 3.75% through July and raised it to 3.75% to 4.00% on September 16 by a 12 to 0 vote (Federal Reserve). The 10-year Treasury yield was 5.31% on October 5 (U.S. Treasury). Lenders were already more cautious before the September move. GF Data reported that average total debt on platform acquisitions fell to 2.9 times trailing EBITDA in the second quarter from 3.4 times in the first, and that senior debt pricing rose to 7.8% from 7.2% (GF Data via ACG). Banks told the Federal Reserve in July that their standards for commercial and industrial loans were basically unchanged and that demand from middle-market firms had strengthened (Senior Loan Officer Opinion Survey).

Private equity activity held up better in the third quarter than the global totals suggest. PitchBook's preliminary count for the quarter was 2,466 US private equity transactions worth $230.4 billion, 20% more by value than in the second quarter, with exits of $165.1 billion (PitchBook data summarized by Foley & Lardner). Lenders expect terms to tighten from here. In PitchBook LCD's third-quarter survey of leveraged finance participants, 36% expected loan spreads to widen over the next six months, 38% expected leverage on buyouts to fall and 54% expected sponsors to be asked for more equity (PitchBook LCD). Fitch Ratings put the default rate among private credit borrowers at 6.3% for the twelve months to August, and at 9.9% among industrial borrowers (Fitch data reported by Global Finance), which helps explain why lenders are examining cyclical industrial credits closely.

Deal activity in LSEG's industrials category, which stood 57% ahead of the prior year at midyear, finished the first nine months 13% ahead (LSEG data reported by Investment Executive). Large strategic acquirers have continued to

commit capital since the quarter ended. On October 5, Schneider Electric agreed to buy the industrial software company PTC for $205 a share in cash, an equity value of about $22.6 billion (Schneider Electric), and C.H. Robinson agreed to buy the freight broker RXO at an implied value of $5.8 billion, a 29% premium to RXO's last closing price (C.H. Robinson and RXO).

With less debt in each purchase, buyers are funding a larger share with equity, and they are placing more weight on earnings quality and on structure such as rollover equity and earn-outs. Lincoln International's private market index for the second quarter recorded the same discipline, which Steve Kaplan of the University of Chicago Booth School of Business summarized in Lincoln's release: "Private company enterprise value growth was driven by operating performance, not multiple expansion" (Lincoln International). Baird's industrial group, writing in early August before the rate increase, reported that "strategic buyers are leading our sell-side momentum" and that "in recent processes, nearly half of buyers have come from outside the U.S., with especially strong engagement from European acquirers" (Baird).

09 Seeing Your Company Through a Buyer's Eyes

Three characteristics account for most of the difference between an average offer and a strong one for an industrial company, and the 2026 transactions in this report give evidence for each.

01 Engineering know-how

Proprietary processes, certifications such as AS9100 and ISO, and engineered-to-order capabilities.

Nearly every aerospace, defense and medical machining announcement this year named the seller's AS9100, Nadcap, ISO 13485 or ITAR registrations in its first paragraph, and the finishing and controls announcements did the same with Nadcap and UL 508. Certifications take years to earn and customers audit them, so an acquirer cannot recreate them quickly. Engineered products also earn higher margins, and Cat Pumps reported an adjusted EBITDA margin above 35% when Franklin Electric acquired it. Where the know-how sits in people, as it does at an integrator or an engineering firm, buyers look closely at which employees hold it and whether they will stay.

02 Customer stickiness

Approved-vendor status, long OEM relationships and recurring service agreements.

Werner's announcement of the FirstFleet acquisition pointed to an average tenure of 17 years among FirstFleet's ten largest customers. Fire and life safety consolidators are paying for inspection agreements that fire codes require customers to renew, and calibration, water treatment service and waste collection share that characteristic. Customer concentration is the other side of the same question. A long relationship with one large customer is valuable, but a buyer will still reduce its offer if losing that customer would remove a large share of earnings, so owners should document contract terms, tenure and the breadth of contacts inside each major account.

03 Capacity and equipment

Modern equipment, documented maintenance and room for a buyer to add volume.

Manufacturing capacity utilization of 75.7% means most plants have room to take on more work, and contract machine shops are investing in new machine tools faster than the market as a whole. Lead times of 160 weeks for large transformers and sold-out production slots for gas turbines show why existing capacity in the power supply chain commands a premium. Permanent 100% bonus depreciation for qualified property acquired after January 19, 2025 also raises the value a buyer places on a step-up in the basis of a seller's equipment (IRS). Maintenance records, a current equipment list with ages and hours, and an honest statement of what the next owner will need to replace. Together, these shorten diligence.

How size changes the multiple

Pepperdine's 2026 Private Capital Markets Report, based on a survey conducted in January, gives median EBITDA multiples by company size and industry as reported by investment bankers (Pepperdine). The survey has no separate rows for transportation or energy companies.

COMPANY EBITDA	MANUFACTURING	WHOLESALE	CONSTRUCTION	BUSINESS SERVICES
Under $1 million	5.0x	3.5x	3.5x	4.8x
$1 million to $5 million	5.2x	5.5x	5.0x	6.2x
$5 million to $10 million	6.5x	6.0x	6.5x	6.5x
$10 million to $25 million	7.0x	8.0x	8.0x	7.5x
$25 million and above	7.0x	7.0x	7.2x	7.0x

Two other surveys agree with that pattern. GF Data, which collects sponsor-reported transactions with enterprise values of up to $500 million, recorded an average of 7.0 times trailing adjusted EBITDA across 85 completed transactions in the second quarter, and none of them closed above $250 million of enterprise value (GF Data via ACG). The IBBA and M&A Source Market Pulse put the second-quarter median at 5.8 times EBITDA for transactions of $5 million to $50 million, up from 5.5 times a year earlier (IBBA). A company that grows from $3 million to $12 million of EBITDA therefore gains on the earnings and again on the multiple applied to them.

What acquirers disclosed in recent transactions

TRANSACTION	SEGMENT	PRICE	MULTIPLE AS STATED OR IMPLIED
ABB and Rotork	Manufacturing & Industrial Technology	About $5.5 billion	19.5 times EBITDA
Crane and Trillium's US water pump business	Manufacturing & Industrial Technology	About $240 million	About 14.6 times estimated 2026 adjusted EBITDA
Howmet Aerospace and Consolidated Aerospace Manufacturing **(agreed December 2025)**	Manufacturing & Industrial Technology	About $1.8 billion	About 13 times expected 2026 adjusted EBITDA after synergies and tax benefits
nVent and Maverick Power	Manufacturing & Industrial Technology	$1.75 billion plus up to $550 million	11.5 times anticipated 2026 adjusted EBITDA on the upfront payment
Franklin Electric and Cat Pumps	Manufacturing & Industrial Technology	$350 million plus up to $50 million	About 7.8 times 2025 adjusted EBITDA on the upfront payment, by our calculation
Flowserve and Trillium's valves division	Manufacturing & Industrial Technology	$490 million	About 2.5 times revenue, by our calculation; EBITDA multiple not disclosed
Ferguson and FloWorks	Industrial Distribution & Services	$1.6 billion	About 10 times trailing adjusted EBITDA including expected synergies
QXO and TopBuild	Building Products & Construction Services	About $17 billion	14.9 times 2025 EBITDA before synergies
Granite and Warren Paving and Papich Construction **(August 2025)**	Building Products & Construction Services	$710 million combined	About 9.2 times expected adjusted EBITDA

TRANSACTION	SEGMENT	PRICE	MULTIPLE AS STATED OR IMPLIED
H.I.G. Capital and Mistras Group	Building Products & Construction Services	Enterprise value of about $866 million	A little over 9 times guided 2026 adjusted EBITDA, by our calculation
Limbach and 1901 Inc.	Building Products & Construction Services	$63 million plus an earn-out of up to $6 million	About 5.7 times expected 2027 adjusted EBITDA on the upfront payment, by our calculation
Orion Group and J.E. McAmis	Building Products & Construction Services	About $60 million plus an earn-out of up to $10 million	Not disclosed
Veolia and Clean Earth	Energy, Power & Environmental Services	$3 billion	9.8 times projected 2026 EBITDA after synergies
Clean Harbors and ES&H	Energy, Power & Environmental Services	$305 million	8.7 times EBITDA after synergies
Willdan and Mantis Innovation	Energy, Power & Environmental Services	$285 million	About 2.4 times expected 2026 net revenue; EBITDA multiple not disclosed
Werner and FirstFleet	Transportation & Logistics	$245 million plus $37.8 million for real estate	About 0.4 times revenue; EBITDA multiple not disclosed
C.H. Robinson and DeSpir Logistics	Transportation & Logistics	About $75 million	About 1.2 times revenue, by our calculation; EBITDA multiple not disclosed
UFP Industries and John Rock	Transportation & Logistics	About $48 million	About 0.6 times sales, by our calculation; EBITDA multiple not disclosed
Wynnchurch Capital and Arcosa Marine Products	Transportation & Logistics	$450 million	About 6.6 times 2025 adjusted segment EBITDA, by our calculation

These are large transactions, and they are useful to a smaller company mainly for what they show about relative value. Engineered products with high margins and controls content sold at about 11.5 to 19.5 times, distribution and installation platforms with scale sold in the low to middle teens, and project-based contracting and field services sold at roughly 6 to 10 times. The survey medians above are the better guide to where a founder-owned company with a few million dollars of EBITDA is likely to be priced.

Houlihan Lokey's packaging group describes a "flight to quality" in which "businesses demonstrating resilient margins and a clear path to sustainable organic growth continue to be rewarded with premium, double-digit valuations" (Houlihan Lokey, 1H 2026 Packaging, Plastics, and Paper Market Update).

10 Who Is Buying

Acquirers and investors in Benchmark International's industrial transactions

Benchmark International's records classify the buyer in 71 of the 85 industrial transactions the firm closed in the 24 months to September 30, 2026. Strategic acquirers bought 40 of those companies. Buyers that are both strategic and financial, which in practice means an operating company owned by a private equity sponsor and adding to an existing platform, bought 13. Financial sponsors making a new investment bought 10, and individual investors bought 8.

BUYER TYPE	TRANSACTIONS	SHARE OF THE 71 CLASSIFIED
Strategic acquirer	40	56%
Sponsor-owned operating company adding to a platform	13	18%
Financial sponsor making a new investment	10	14%
Individual investor	8	11%

The split differs by segment. In Manufacturing & Industrial Technology, 11 of the 19 classified buyers were strategic and the rest were investment firms, sponsor-owned platforms and an individual. In Building Products & Construction Services, 20 of 36 were strategic, with the remainder divided almost evenly among sponsor-owned platforms, financial sponsors and individuals. All three Transportation & Logistics buyers were strategic.

The acquirers named in Benchmark's public announcements for the period fall into four groups.

- **Public and large private operating companies:** Cintas Corporation, DXP Enterprises, Aecon Group, Cemtrex, Harris Company, Triumvirate Environmental, TIPCO Technologies, Amtech Drives, Tarter USA, Symbia Logistics and The Nearshore Company.
- **Specialist platforms that acquire within one trade:** AI Fire (which acquired two Benchmark clients), Zeus Fire and Security, Allied Roofing Partners, Apex Water and Process, Liberty Service Partners, Capital Extension Crane & Lift, Thomasville Restoration, Colonial Truss, GreaseCycle and A.S.A.P. Garage Door Repair, a Centerfield Capital Partners company.
- **Investment firms:** BlueRock Global Private Equity (which acquired two Benchmark clients), House Rock Capital Partners, Seddon Point Capital, Sundance Partners, Willow Creek Partners, Platt Park Capital Partners and Constellation Capital Group.
- **Acquirers based outside the United States:** Aecon Group of Canada, Phenna Group of the United Kingdom and Assessimus Group GmbH.

The remaining transactions went to individual investors and to buyers that have not been disclosed, which is a reminder that a well-run process for a company of this size should reach individuals and family investors as well as institutions.

The most active acquirers in each segment in 2026

SEGMENT	PLATFORMS AND INVESTMENT FIRMS	STRATEGIC ACQUIRERS
Manufacturing & Industrial Technology	Precinmac (Centerbridge Partners), Threadlock Precision (D. E. Shaw group), GCM (Avista Healthcare Partners), Talica (JLL Partners), Valence Surface Technologies (ATL Partners and BCI), GrayMatter (Tailwind Capital), Relevant Solutions (Fusion Capital Partners), Vessco Water (Gryphon Investors), Command Medical Products (Argosy Healthcare Partners), Banner Capital	Howmet Aerospace, TransDigm, Franklin Electric, Crane, Flowserve, ABB, nVent, GE Vernova, Schneider Electric
Industrial Distribution & Services	Meritus Gas Partners (AEA Investors), Falcon Gases (Odyssey Investment Partners), Tavoron (Fusion Capital Partners), Midland Industries (Gemspring Capital), Triad Technologies (Shorehill Capital), Value Added Distributors (Rotunda Capital), Sciens Building Solutions (Carlyle), Pye-Barker Fire & Safety (Altas Partners), Motion & Control Enterprises (Frontenac)	Ferguson, APi Group, DXP Enterprises, Distribution Solutions Group, TIPCO Technologies, Wolter, Airline Hydraulics
Building Products & Construction Services	Modigent (OMERS Private Equity), Foundral (McNally Capital), Ridgeline Roofing & Restoration (Bertram Capital), Tecta America (Altas Partners), Trimlite (Wynnchurch Capital), Ascent Lifting (Shorehill Capital), Holland Pump (Arcus Infrastructure Partners), US LBM (Bain Capital and Platinum Equity), Halo Partners	QXO, Watsco, Comfort Systems USA, Limbach, Construction Partners, MasTec, Orion Group, Saltchuk, J.F. Brennan, Bay Crane, Transcat
Energy, Power & Environmental Services	Integrated Power Services (Searchlight Capital Partners), Shermco (Blackstone), Mission Critical Group (Emerald Lake Capital Management), GenServe (Aurora Capital Partners), Environ Energy (424 Capital), CLEAResult, Verdantas (Sterling Investment Partners), OPTERRA Energy Services (LS Power), Bernhard Capital, Enviracore Services (Seaside Equity Partners), Waste Resource Management (Ridgewood Infrastructure), Blue Castle Waste Solutions (Blue Sage Capital), GreenWaste (Macquarie Asset Management), Impel (Pike Street Capital), Veritas Capital	Willdan, Leidos, Clean Harbors, Veolia, Generac, Kemira, Republic Services, Waste Connections, Casella
Transportation & Logistics	MEI Industrial Solutions (Olympus Partners), Redwood Logistics (AEA Investors), Imperative Logistics Group (Littlejohn & Co.), RoadOne IntermodaLogistics (Ridgemont Equity Partners), Echo Global Logistics (TJC), SupplyOne, Specialized Packaging Group, Avkha Equity Holdings, Wynnchurch Capital, Tallvine Partners, Mubadala Capital	C.H. Robinson, Werner Enterprises, UFP Industries, Veritiv, TA Dedicated, Estes, Trinity Logistics, Allstates WorldCargo, Proficient Auto Logistics, Trimac, Omega Morgan, Hines Furlong Line, Chouest

Public companies with strong balance sheets set the pace in the larger transactions this year, and the platforms in the middle column did most of the buying among founder-owned and family-owned companies. Baird's observation that

nearly half of the buyers in its recent industrial processes came from outside the United States matches Benchmark's own experience with Canadian, British and continental European acquirers in this period.

11 Advisory Built Around Your Goals

An exit can take many forms, and Benchmark International helps industrial owners choose the path that fits their wealth, family and company goals.

PATH	WHAT IT INVOLVES	WHERE THE CURRENT MARKET FAVORS IT
Sell-side M&A	A full sale to the right strategic acquirer or financial sponsor, run as a confidential, competitive process from positioning through closing	Strategic acquirers bought 56% of the Benchmark industrial clients with a classified buyer in the past 24 months, and specialist platforms are active in every segment
Recapitalizations and partial sales	Taking cash out while keeping a stake in the upside, through majority or minority recapitalizations with private equity and family offices	Intermediaries in Pepperdine's 2026 survey reported rollover equity in 46% of the transactions they closed
Strategic partnerships and growth capital	Finding a partner that brings capital, capabilities or market access to accelerate the next phase of growth	Companies with data center, power and aerospace demand that exceeds their capacity or working capital
Exit planning and valuation	Understanding what the company is worth today, what drives value in its sector, and the steps that will raise it before going to market	Owners who expect to sell within two or three years and have time to address concentration, management depth and reporting

How transactions are being structured

Intermediaries responding to Pepperdine's 2026 survey reported using seller financing in 54% of the transactions they closed and rollover equity in 46%, and most said a sale took nine months or more to complete (Pepperdine). In the SRS Acquiom 2026 study of private-company acquisitions, 24% of deals included an earn-out with a median size of 34% of the payment at closing, and representations and warranties insurance was used in 46% (Fasken). That study draws on larger transactions than most founder-owned industrial companies will complete, so its figures are best read as a guide to what buyers are likely to ask for.

Contractors have two additional items to plan for. An owner's personal indemnity to the surety stays in force after a sale unless the surety releases it (Construction Business Owner), and for companies that contribute to a multiemployer pension plan, an asset sale can trigger withdrawal liability unless the conditions of ERISA Section 4204 are met (SMACNA).

Tax and structure reference

The table summarizes published federal rules as of October 2026 and is a starting point for a conversation with the owner's own tax and legal advisers.

ITEM	CURRENT RULE	SOURCE
Long-term capital gains	Top federal rate of 20%, applying in 2026 above $613,700 of taxable income for joint filers and $545,500 for single filers, plus the 3.8% net investment income tax where it applies	Rev. Proc. 2025-32; IRS
Estate and gift tax	Basic exclusion of $15 million per person for 2026, indexed annually	IRS

ITEM	CURRENT RULE	SOURCE
Qualified small business stock	For newly issued C corporation stock, gain exclusion of 50% after three years, 75% after four and 100% after five; per-issuer cap of the greater of $15 million or ten times basis; $75 million gross assets test	26 U.S.C. 1202
Bonus depreciation	Permanent 100% first-year deduction for qualified property acquired after January 19, 2025, which bears on how a buyer values an asset purchase and how the price is allocated	IRS
Manufacturing buildings	100% deduction for qualified production property where construction begins after January 19, 2025 and before 2029 and the property is placed in service before 2031	Tax Foundation
Business interest	Limitation restored to 30% of an EBITDA-based measure, which raises the interest a leveraged buyer can deduct	Tax Foundation
S corporation sales	The choice among an asset sale, a stock sale with a Section 338(h)(10) election and an F reorganization is negotiated closely because full expensing raises the value of a basis step-up to the buyer	FBT Gibbons
Antitrust filing	Hart-Scott-Rodino size-of-transaction threshold of $133.9 million, effective February 17, 2026	FTC
Non-compete agreements	The FTC's rule is not in effect and was removed from the Code of Federal Regulations in February 2026; the rule had exempted non-competes given in the sale of a business	FTC; Federal Register
SBA 7(a) loans	Maximum loan of $5 million; a bill to raise the limit for small manufacturers passed the House in December 2025 and was placed on the Senate calendar	SBA; H.R. 3174

Your Deal Team

Benchmark International's industrial coverage is led by the firm's Middle Market team.

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12 Considering a Transaction in the Industrial Sector?

The first step is a confidential conversation about your goals, your company and your options, with no pressure and no commitment.



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13 Sources

Figures are the latest available in the first week of October 2026, and company periods are the calendar second quarter of 2026 unless stated.

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Bureau of Labor Statistics: JOLTS, August 2026; Occupational Outlook Handbook, machinists and tool and die makers; producer prices for steel mill products and aluminum mill shapes via FRED

Energy Information Administration: Short-Term Energy Outlook, electricity; weekly diesel prices

Environmental Protection Agency: PFAS drinking water regulation

Trade policy: USTR Section 301 fact sheet and USMCA joint review statement; Federal Register, Section 232 metals proclamation; Faegre Drinker, summary of the Supreme Court's February 20, 2026 decision; Reuters, Court of International Trade hearing

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